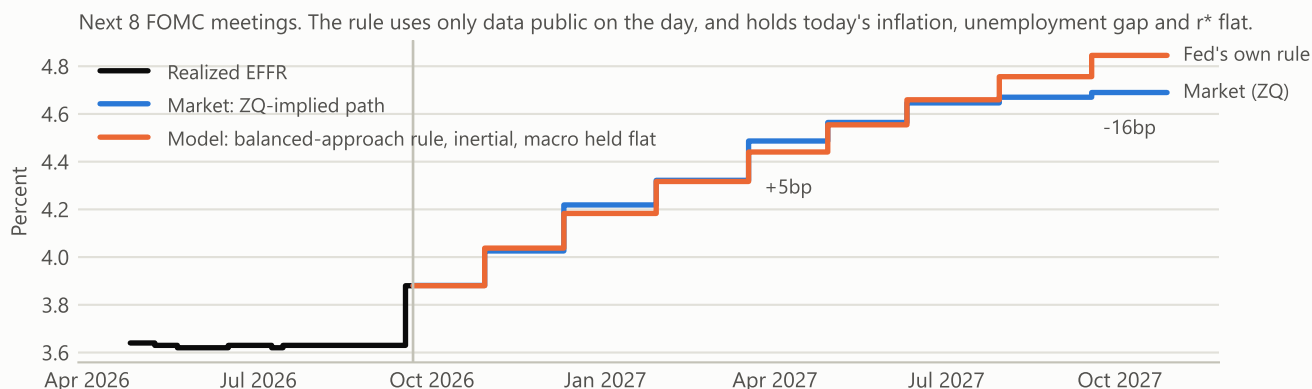


Is the market pricing the Fed's own rule?

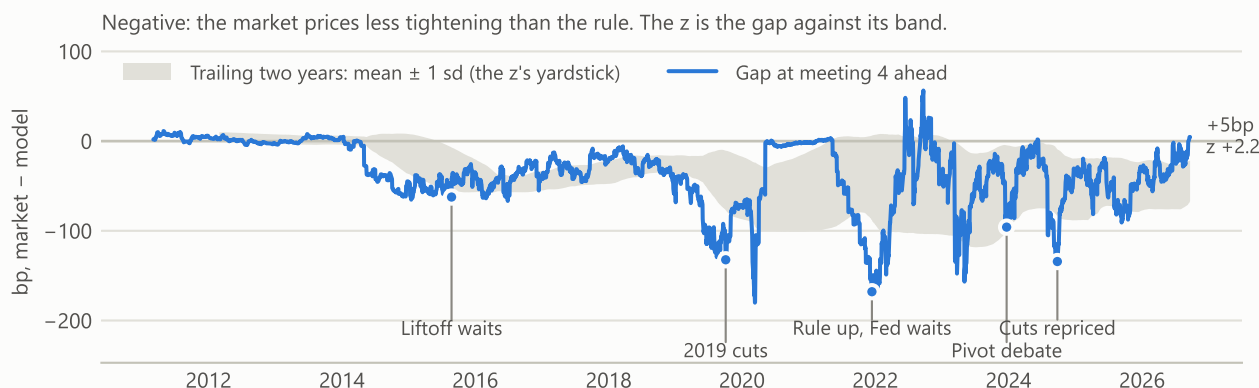
US policy path as of 21 September 2026 · generated 2026-09-27

Every session since 2010, the fed funds path over the next eight FOMC meetings is solved from ZQ futures settles, using only the fixings published by that day. Beside it, the Fed's own balanced-approach rule from its Monetary Policy Report gives the path policy would take if today's macro picture held, fed by a real-time nowcast rebuilt from ALFRED vintages and by the committee's own longer-run dot for r^* . The gap between the two, meeting by meeting and scored against its own trailing two years, is the signal.

The fed funds path: market against the Fed's own rule, 21 September 2026



The gap at the 4th meeting ahead, 2011-2026



What it says now

On 21 September 2026 ZQ priced 81bp of tightening by the September 2027 meeting, to 4.69%. The rule, fed core PCE at 3.4%, unemployment 0.3pp below CBO's natural rate and an r^* of 1.2% from the 16 September 2026 SEP, asks for 5.9%; at its inertial pace it reaches 4.85% by then. The two paths agree to within 5bp through the June 2027 meeting; by September 2027 the market is 16bp below the rule. Against its own history that is unusual: over the past two years the market sat on average 44bp below the rule at the fourth meeting, so today's +5bp is a z of +2.2, and the signal is to receive the March 2027 meeting.

What would make this wrong

The rule has sat above the market for most of the sample: at the fourth meeting the market has averaged 35bp below it, year by year since 2011. The z trades departures from that discount, not the discount itself. If the discount is a term premium, or the market's reasonable view that the committee does not follow its own benchmark, then a closing gap is the market catching up with 3.4% core inflation, not overreaching, and the trade is wrong. Hold-flat is the other exposure: the rule path assumes today's inflation and slack persist, so a market that rightly expects disinflation looks too dovish, and one that expects re-acceleration too hawkish. And the rule cannot see shocks: the crude trade lost 364bp in 2019-20, when the market priced cuts the rule never asked for, and was right.

Limitations

Macro conditioning is hold-flat: inflation, the unemployment gap and r^* stay at today's values over the horizon. The rule is imposed from the Monetary Policy Report, not estimated, and r^* is the SEP median as FRED rounds it (to within 5bp). The backtest is crude: one rate (the fourth meeting ahead), DV01 fixed, one session's lag, and no transaction costs yet, so its Sharpe of 0.02 over 2012-2026 overstates what was achievable. US only. Scheduled FOMC dates are treated as known on every date.